THE MASTERMIND COACHING CLASSES

CBSE / RBSE • NURSERY – CLASS XII • JAIPUR

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CLASS 10 SOCIAL SCIENCE — ECONOMICS CHAPTER TEST SET A

Economics Chapter 3: **Money and Credit** | RBSE Board Pattern | Session 2026–27

Time: 1 Hour 30 Minutes Name: _____ Roll No.: _____ **Maximum Marks: 40**

General Instructions:

1. All questions are compulsory.
2. Q. 1–10 are Objective Type (1 mark each).
3. Q. 11–14 are Very Short Answer Type (2 marks each).
4. Q. 15–18 are Short Answer Type (3 marks each).
5. Q. 19–20 are Long Answer Type (5 marks each).
6. Internal choice is given in Q. 17 to 20.
7. Write the question number before each answer.
8. Answers must be written in the answer book in the order of the questions.

SECTION — A (Objective Type Questions) 10 × 1 = 10

Choose the correct option and write it in your answer book.

1. A barter system is one in which: 1

(a) goods are exchanged with the use of cheques
(b) only gold is used
(c) goods are directly exchanged without the use of money
(d) only paper currency is used

2. Which feature is essential in a barter system? 1

(a) Demand deposits **(b)** Rate of interest
(c) Double coincidence of wants **(d)** Collateral

3. In India, who issues currency notes on behalf of the central government? 1

(a) Reserve Bank of India **(b)** NABARD
(c) State Bank of India **(d)** Ministry of Finance

4. Deposits in bank accounts that can be withdrawn on demand are called: 1

(a) demand deposits **(b)** fixed deposits **(c)** term loans **(d)** collateral

5. About what proportion of their deposits do banks in India hold as cash? 1

(a) 25 per cent **(b)** 5 per cent **(c)** 50 per cent **(d)** 75 per cent

6. **Assertion (A):** Banks charge a higher interest rate on loans than what they offer on deposits. 1
Reason (R): The difference between what is charged from borrowers and paid to depositors is the main source of income of banks.

(a) Both A and R are true and R is the correct explanation of A
(b) Both A and R are true but R is not the correct explanation of A
(c) A is true but R is false
(d) A is false but R is true

7. An asset that the borrower owns and uses as a guarantee to a lender until the loan is repaid is called: 1

(a) cheque **(b)** deposit **(c)** collateral **(d)** principal

8. According to Graph 1 (2019), what share of credit in rural India comes from moneylenders? 1

(a) 10 per cent **(b)** 23 per cent **(c)** 7 per cent **(d)** 51 per cent

9. A typical Self Help Group has how many members? 1

(a) 5–8 **(b)** 100 **(c)** 50–60 **(d)** 15–20

10. The founder of Grameen Bank, who won the Nobel Peace Prize in 2006, is: 1

(a) Amartya Sen **(b)** Muhammad Yunus **(c)** Manmohan Singh **(d)** Abhijit Banerjee

SECTION — B (Very Short Answer Type) — 4 × 2 = 8

Answer in about 10–15 words each.

11. What is meant by 'double coincidence of wants'? 2

12. What is a cheque? 2

13. What are the 'terms of credit'? 2

14. Why is money called a medium of exchange? 2

SECTION — C (Short Answer Type) — 4 × 3 = 12

Answer in about 30–40 words each.

15. How does the use of money solve the problem of double coincidence of wants? Give an example. 3

16. Why are demand deposits considered as money? 3

17. How do banks mediate between depositors and borrowers? 3

OR

What is the role of the Reserve Bank of India in supervising banks? 3

18. Distinguish between formal and informal sources of credit. 3

OR

Why is Swapna's case an example of a debt trap? 3

SECTION — D (Long Answer Type) — 2 × 5 = 10

Answer in about 100–150 words each.

19. Why do we need to expand formal sources of credit in India? Explain. 5

OR

Explain the role of credit in development with the help of examples of Salim and Swapna. 5

20. What are Self Help Groups? How do they help the poor to get credit? 5

OR

Describe the Grameen Bank of Bangladesh. What does it show about lending to the poor? 5

END OF QUESTION PAPER — Total: 40 Marks

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